The Best Time To Be In The Field Of Electronics In India Is Now!

The government of India has announced various production linked incentive schemes, in addition to the several schemes that are already running, to make India 'atmanirbhar' for manufacture of various electronic goods and components. So, this is the best time to invest in India for the MSMEs and startups, besides the MNCs

Mukul Yudhveer Singh

The best time to be in the business of electronics, and to be in India, is right now. The government of India, during the pandemic caused by the outbreak of the coronavirus, has launched several schemes that are meant not only to make India *atmanirbhar* in terms of electronics it consumes but also make it for the world. Most experts and electronics industry associations all over the country have mentioned these to be some of the best schemes they have seen in the history of the country.

"We have to attract cutting-edge technology and maximum investment in the sectors related to our core competency," Prime Minister of India, Narendra Modi, has said while addressing a webinar on Production Linked Incentives recently. "Earlier, industrial incentives used to be open ended input based subsidies, now they have been made targeted and performance based through a competitive process," he added.

Let us take a close look at some of the policies under the Production Linked Incentive (PLI) Scheme.

IT hardware

The scheme shall extend an incentive of four percent to two/one percent on net incremental sales (over base year) of goods manufactured in India and covered under the target segment, to eligible companies, for a period of four years. The target segment under PLI for IT hardware includes laptops, tablets, all-in-one PCs, and servers.

"PLI for IT Hardware products will be a game-changer for the electronic manufacturing industry. The scheme will help in generating more value addition in the country and exports too. We hope to see a strong electronic component chain also developing alongside with the help of these schemes," noted Manish Sharma, Chair, FICCI Electronics & White Goods Manufacturing Committee. Sharma is also president and CEO of Panasonic India.

This scheme was announced by the Ministry of Electronics and IT (MeitY) as the IT hardware manufacturing sector in India faces lack of a level playing field vis-à-vis competing nations. This disability of around 8.5 to 11 percent is on account of lack of adequate infrastructure, domestic supply chain and logistics, high cost of finance, inadequate availability of quality power, limited design capabilities, very little focus on R&D in the industry, and inadequacies in skill development. There is a need for a mechanism to compensate for the manufacturing disabilities vis-à-vis other major manufacturing economies.

The objective of the PLI scheme is, therefore, to provide a financial incentive to offset the disability to some extent in order to boost domestic manufacturing and attract large investments in the value chain.

Announced with a total incentive outlay of 73.25 billion rupees, the yearly incentive amount for the first year was fixed at 7.20 billion rupees, for the second year at 13.05 billion rupees, for the third year at 18.20 billion rupees, and for the fourth year at 34.80 billion rupees.

"The government is trying to build a robust ecosystem for the sunrise sectors.